

Compare borrowings with financial assets

Next, we compare long term borrowings against financial assets to understand how well the borrowings are covered. If the company has high amount of financial assets, the company can liquidate that and repay borrowings.

EXAMPLE

If the company has a 500 Cr loan and 2000 Cr as financial assets. The company might be paying a small amount every year from cash flow, but since they have a lot of assets, they can sell a part of their assets and repay the entire loan.



Thus, we need to understand the total loan/ total financial assets of the company. We won't take operating assets into consideration here, as, without operating assets, the business will stop.

However, the company is free to make decisions regarding financial assets and choose whether to keep or repay debt with the same. The company can keep them or sell them off. If the company has 500 Cr in financial investment and 200 Cr in borrowings, the lender need not worry as the company has a lot of assets to back the borrowings. As a result, higher the coverage, better it is.

Purpose of the loan taken

We need to understand when the company increased borrowings and the purpose behind it. We need to know whether the company undertook a significant CAPEX or underwent a major acquisition or restructuring. We need to know the purpose of taking the loan.

This is why the loan amount increases

We can look at the cash flow statement and understand what the company did with the cash from increasing borrowings.

